

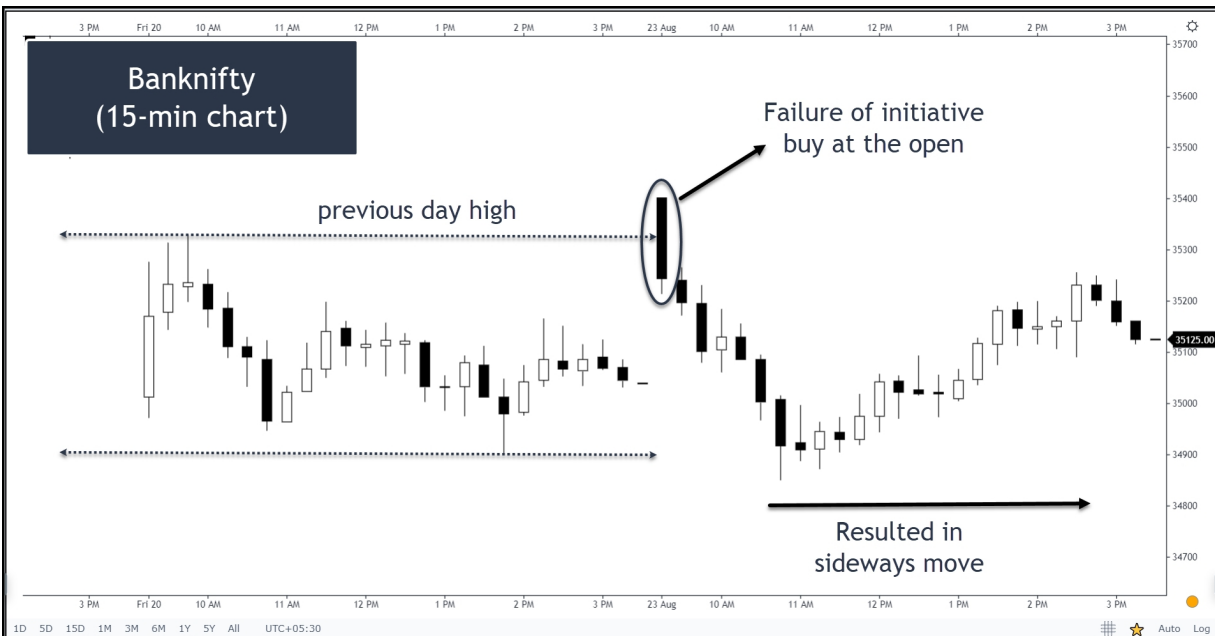


Image 5.19 – Failure of initiative buy (resulted in sideways move)

Above image shows another example of initiative buy failure. The price opened with a gap above PDH.

But the buyers clearly failed to carry the momentum on the first candle itself as it closed below the PDH. So, traders can plan a short trade below the low of the candle, keeping a stop-loss above the high of the candle.

Please note initiative buying gives good upmove, whereas failure of initiative buy gives sideways to downside move at a slower pace. Hence this system doesn't suit naked option buyers, and it works best for option sellers.

Traders can also use the bearish patterns (as shown in image 5.11) associated with PDH to confirm the failure of initiative buying and to time their short trades.

System 8 – Failure of IS

Successful initiative selling trades give a good move to the downside for the rest of the day. At the same time, the failed initiative selling trades display a complete sideways to upside move for the rest of the day.